

London Office Market Analysis Report

Group 17

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1. **Economic Impact on Demand:**

How might GDP growth, inflation and interest rate reductions and Business confidence influence take-up rates and tenant migration in key submarkets (City, Docklands, West End) over the next 1-3 years?

- **GDP growth** boosts demand for office spaces as businesses expand. Key submarkets such as **The City & Southbank** and **The West End** might see increased leasing activity as businesses prioritize prestigious or strategically located office spaces.
- **Decreasing inflation** can stabilize operational costs for businesses, making it more attractive to invest in long-term leases or relocate to more prominent locations.
- **Reduced interest rates** lower borrowing costs, encouraging businesses to invest in refurbishments.
- **Increasing business confidence** translates to greater willingness to invest in expansion, leading to increased office space take-up. **The City & Southbank** and **The West End** might attract high-profile tenants seeking central and prestigious locations, while **Docklands** may appeal to cost-sensitive companies.

How might fluctuations in employment rates further influence demand for London office space and how might employment changes within specific sectors (e.g., finance, tech, creative industries) impact different submarkets?

With the gradual easing of interest rates, employment activity in London is anticipated to rebound from the pandemic-driven slowdown. The projected rise in business activity is expected to stabilize the employment rate, fostering job creation across key sectors. Notably, the technology and professional services industries are forecast to maintain robust growth, underpinning increased demand for office space in prime submarkets such as **The West End** and **The City & Southbank**.

Key drivers of demand for professional services:

- **Brexit:** Post-Brexit, the UK replaced EU regulations with a UK-specific framework, increasing demand for professional guidance.
- **Policy:** In 2021, Initiatives like the Kalifa Review prioritized the fintech sector. Policies such as the Global Talent Visa (2020), SEIS/EIS (2021), Start-up Loans Programme, and the FinTech Growth Fund (2023) have boosted demand for professional services by fostering innovation and startup growth.
- **Economy:** Despite weak economic performance, demand in areas like restructuring and insolvency has risen, as businesses seek strategic

adjustments, risk management, and cost control advice from professional service providers.

- **Sustainability:** Sustainability initiatives, such as the Sustainable Finance Initiative (2021-2024) and mandatory TCFD reporting requirements, have fueled growth in ESG and professional consulting

2. **Take-Up Sustainability:**

Do you think this trend in “Take-up” is sustainable or temporary? What specific indicators (e.g., tenant profiles, active requirements) would help you assess its stability?

The current take-up levels in Central London appear to be sustainable but with potential volatility, primarily driven by robust demand for Class A office space (accounted for 77% of total take-up in Q2 2024) and continued interest from key sectors (e.g., banking, finance, and technology).

- **Tenant profile**
The take-up is highly reliant on sectors like **banking & finance** (26% share) and **technology** (19% share), these high-profile tenants should maintain their momentum to support leasing volumes. However, any slowdown in these sectors could disrupt leasing momentum. With the robust growth in **technology** and **professional** sectors, the overall take-up is likely to remain high in the next three years as the employment profile shows positive growth.
- **Active requirements**
Despite fluctuations, active tenant requirements remain strong at **11.14** million sq ft across London, with notable demand in key submarkets like **The City & Southbank** and **The West End**.

3. **Lease Terms and Tenant Expectations:**

What implications does the change in Lease Terms have for landlords and developers in terms of lease structuring and future rental income?

The average lease term in **The City & Southbank** declined from **5.4** years in 2019 to **4.7** years in 2022, while the average lease term in the wider City market (including the City Fringe) in 2022 was **4.7** years, compared to **5.0** years in **The West End**. Post-pandemic, tenants have increasingly prioritized flexibility, not only in the demand of physical spaces but also in lease durations, to mitigate risk. Shorter lease terms, however, result in less predictable rental income for developers, elevating investment risk and potentially reducing the cap rate.

4. **Vacancy Rate Implications:**

Do vacancy rates for new and existing spaces vary across submarkets and by the Class of Asset (Class A and Class B/C)? What risks and opportunities do these vacancy patterns present for future developments in the submarkets?

- **Flight to quality:** Overall vacancies rates dropped to **9.4%** by Q2 '24, with the Class A vacancy rate at **5.4%**. Low Class A vacancy rates highlight investment opportunities in developing prime assets.

- **The West End:** Despite having the lowest vacancy across all three submarkets at **8.1%** by Q2 '24, vacancy has been trending upwards in the past year with development completions in the past year above the 10-year quarterly average. Nevertheless, Class A (72% of the supply) vacancies remains below the submarket vacancy rate at **5.6%**.
- **The City & Southbank:** Vacancies rates have been inline with the larger London market, with downward trends in the past year due to under historical average in completions, arriving at **9.5%** by Q2 '24. Class A vacancies in the submarket declined to **5%**.
- **Docklands & Stratford:** Despite y/y decrease of **290 bps**, highest vacancies of the three submarkets at **13.6%** by Q2 '24. Although there has been no deliveries in '24, the elevated vacancy rate indicates risks of a saturated market.

5. **Rent Level Trends:**

What role does scarcity of prime space play in influencing rent levels across submarkets? Given rent growth in certain submarkets, what role does tenant willingness to pay for sustainable or energy-efficient buildings play?

Class A space accounted for **77% of leasing activity in Q2'24**, the highest recorded percentage ever.

- **The West End:** **The West End** continues to command the highest prime headline rents in Central London, reaching **£150** per sq ft in Q2 2024, an **11.1%** increase year-on-year and well above the 10-year quarterly average of **£115** per sq ft. The scarcity of Class A space is apparent in prestigious areas like **Mayfair**, where the vacancy rate is just **3.31%**, significantly below the overall **The West End** vacancy rate of **8.1%**. Such limited availability drives rents higher as tenants compete for high-quality spaces.
- **The City & Southbank:** Prime headline rents in **The City & Southbank** submarket reached **£87.50** per sq ft in Q2 2024, a **16.7%** increase year-on-year and exceeding the 10-year quarterly average of **£75** per sq ft.
- **Docklands & Stratford:** **The Docklands & Stratford** submarket remains more affordable, with prime headline rents at **£57.50** per sq ft in Q2 2024, reflecting a modest **4.5%** annual increase.

Rent growth across London's submarkets is strongly driven by high demand for Class A offices, particularly in **The West End** and **The City & Southbank**, where Class A spaces dominate leasing activity and prime space vacancies remain significantly below overall vacancy rates. Tenant willingness to pay a premium for sustainable, energy-efficient buildings further bolsters rent growth in these core urban areas, as key sectors like finance and technology prioritize ESG compliance to align with global trends and mitigate reputational risks. This preference for green, high-specification spaces not only supports rent growth but also enhances the long-term value and resilience of such properties for landlords and investors.

6. **Active Requirements and Market Demand:**

Analyze the role of active tenant requirements in shaping future demand. What does the current level of active requirements suggest about near-term leasing momentum in London?

As of Q2 2024, active requirements in Central London totaled **11.14** million sq ft, signaling robust tenant interest (above 10 quarter average of 9.02 million sq ft for the past year) despite a slight decline (-11.6%) from the previous quarter. We also see a strong growth of technology and the professional industry, driving the demand in **The West End** and **The City & Southbank**.

Demand Analysis by Submarket:

City & Southbank remains the most active submarket, with **4.42** million sq ft of active requirements, driven largely by demand from financial, professional services, and technology sectors.

West End follows with **2.32** million sq ft, benefiting from its prestige and appeal to professional services and media companies.

Docklands has seen a surge in active requirements, increasing by **197.9%** Y/Y to **0.65** million sq ft. This indicates growing demand in a cost-effective submarket.

The strong demand for Class A office spaces, which accounted for **77%** of total leasing activity in Q2 2024, highlights tenants' continued preference for high-quality, sustainable spaces that meet modern workplace standards. This trend supports positive near-term leasing momentum for Central London, driven by active requirements. While challenges such as elevated vacancy rates in non-core markets remain, robust demand for premium spaces and renewed interest in the **Docklands** signal a healthy recovery.

7. Supply Analysis:

New vs. Existing: With both new construction and completions in the pipeline, how would you assess the risk of oversupply or unmet demand across London's office market? Consider the impact on both Grade A and existing office spaces.

Overall, office availability in London remains relatively high.

West End

- Significant new construction activity with **6.03** million sq ft under construction as of Q2 2024, showing a moderate **3.1%** decline over the last three months but an **11.1%** increase year-over-year.
- Availability has grown to **7.69** million sq ft (+9.3% in Q/Q and +17.4% Y/Y). While the submarket experiences low vacancies, there are risks of oversupply, especially if demand slows.
- The increase in the under-construction area is mainly driven by redevelopment projects, such as upgrading Class B and C buildings to Class A. However, the oversupply risks may pressure rents for Class A spaces, and older spaces could face declining demand as tenants upgrade to modern, energy-efficient buildings.

City & Southbank

- New construction starts declined in Q1 2024, while the under-construction area saw a slight increase.
- **9.68** million sq ft under construction, a **6.2%** increase in the last three months but a slight **4%** year-over-year decline.
- Availability has declined (-6.3% in Q/Q, -12.6% Y/Y), indicating stronger demand absorption in this submarket. However, the current rate of **13.2** million sq ft is still above the 10-year quarterly average of **9.08** million sq ft.

- The demand for Class A spaces appears robust, with the market favoring high-quality, central locations. New supply is likely to be absorbed, minimizing oversupply risks.

Docklands & Stratford

- Only **1.07** million sq ft under construction, although this marks a sharp increase (+102.1% Q/Q and +91.5% Y/Y).
- Availability has dropped significantly (-22.8% Q/Q, -16.7% Y/Y), indicating promising absorption given limited new supply in the past few years.
- While declining availability suggests strong absorption for existing buildings, high vacancy rates and an increasing number of constructions suggest that stronger demand is needed to justify investment.

8. Construction Costs Impact:

Rising construction costs can affect investment feasibility. How should developers factor in construction costs when assessing the viability of new office projects in today's market conditions?

According to Arcadis, London ranks as the most expensive city globally for construction costs. Although construction inflation has eased, persistent labor shortages and stricter low-carbon regulations continue to drive cost forecasts upward. Over the next five years, building costs are projected to rise by **15%**, fueled by a **16%** increase in labor costs and a **15%** rise in material costs. To ensure the viability of new office developments, developers should undertake detailed cost forecasting and sensitivity analyses to address fluctuating material prices, labor shortages, and regulatory compliance expenses. Incorporating contingency buffers can provide critical flexibility to manage unexpected price increases during the construction phase.

9. Rent Sensitivity and Construction Activity:

How might new construction activity and projected completions affect rent levels in London's core office submarkets? What does the balance of take-up and construction completion reveal about future rent trends?

New construction activity in London's core submarkets, such as **The West End** and **The City & Southbank**, significantly influences rent levels. The balance between supply and demand, reflected in take-up rates, is critical in shaping future trends.

Key Impacts on Rent Levels

A surge in new developments may exert downward pressure on rents if demand fails to keep pace, with **The West End** alone set to deliver a record **3.4** million sq ft of office space. However, demand for high-specification, sustainable buildings continues to drive premium rents, evidenced by **The West End's** annual prime rent growth of **7.7%**, reaching **£140** per sq ft.

Take-Up vs. Completions

Robust take-up of office space helps stabilize rents, but weak absorption can lead to higher vacancy rates, as reflected in Central London's Q2 2023 vacancy rate of **9.4%**.

Meanwhile, pre-leased developments signal steady demand, mitigating the risk of oversupply and providing greater market stability.

Future Trends

The scarcity of high-quality office space continues to support rent growth in prime markets such as **The West End**. Additionally, tenants increasingly prioritize sustainable, high-specification buildings, which bolsters demand for newer developments while placing older, less efficient stock at risk of rent declines.

10. Recommendation:

Based on your analysis, is new office development advisable? If so, recommend the submarket with the most favorable conditions, providing data-backed reasoning on vacancy, rent levels, and demand indicators.

If the data supports such an opportunity, determine which submarket would be most suitable based on your analysis of the available metrics.

Identify potential risks of delaying new development in each submarket. For example, are there specific areas where delays may lead to missed opportunities if demand recovers faster than expected?

We recommend Class A development in **The West End** submarket. With land available and assuming construction costs comparable, we believe **The West End's** scarcity of Class A space combined with premium headline rents presents the best opportunity for development.

Macro Analysis:

We agree it's a good timing for new development activity based on macro analysis. Although the decline in investment turnover from 2021 to 2024 is mainly due to high interest rates and investor caution, we believe developing in the current market and profiting upon recovery is a preferable strategy with rates unlikely to drop quickly.

We also observed that while 2023 recorded the highest completion volume in nearly a decade, the reduction in new developments suggests that available space in the whole London market will decline year by year. Starting construction in 2024 with a 2-3 year timeline would position the project to enter the market in 2026 and 2027, when supply competition is expected to be lower.

Demand:

The West End is poised to benefit from strong GDP growth, declining inflation, and increased business confidence, driving demand for prestigious office spaces. Class A spaces dominate the market, accounting for **72%** of supply and maintaining a lower-than-average vacancy rate of **5.6%**, highlighting their appeal. The submarket is also well positioned to benefit from employment tailwinds in the technology and professional services sectors, leveraging employment growth and post-Brexit policy incentives that emphasize the UK's competitive edge.

Supply:

Availability has grown to **7.69** million sq ft (+9.3% Q/Q, +17.4% Y/Y), reflecting a healthy pipeline. However, this raises potential oversupply risks if take-up levels weaken. Despite these concerns, the scarcity of prime Class A spaces, particularly in high-demand areas like **Mayfair**, supports the submarket's resilience.

Vacancy:

The West End maintains the lowest overall vacancy rate among London's submarkets at **8.1%**, with Class A spaces faring even better at just **5.6%**. While development completions have temporarily elevated vacancies, the premium appeal of Class A offices ensures faster absorption rates compared to older, non-sustainable properties.

Price:

The West End commands the highest prime headline rents in London, reaching **£150** per sq ft in Q2 2024, an **11.1%** year-over-year increase. Rent growth is underpinned by the scarcity of Class A space, tenant preference for sustainable buildings, and the submarket's reputation for prestige and accessibility.

Risks:

Significant new construction activity and rising vacancy rates increase the risk of oversupply, particularly if demand growth slows. While prime headline rents in **The West End** reached **£150** per sq ft, competition from new/upgraded properties could pressure rental growth.

Potential opportunities in Other Submarkets:

The City & Southbank submarket has seen strong demand absorption, with Class A spaces accounting for **74%** of take-up and supported by growth in the technology and professional services sectors. Despite supply being **45%** above the 10-year average, declining availability (-12.6% Y/Y) and low construction deliveries mitigate oversupply concerns. Class A vacancies are low at **5%**, and prime headline rents have grown by **16.7%** over the past year, a trend likely to continue due to the scarcity of high-quality office space.

If current trends continue, this submarket is looking to have lower vacancies than **The West End**. If rent growth is stronger than expected, delaying construction may lead to missed opportunities in this emerging market.

The Docklands & Stratford submarket has the fewest development in the pipeline out of the three markets. Availability has dropped significantly (-22.8% Q/Q and -16.7% Y/Y), signaling strong absorption of existing spaces and a tightening market. Cost-sensitive companies, particularly in the startup and technology sectors, are drawn to **The Docklands** for its affordability compared to **The City & Southbank** and **The West End**. If demand is stronger than expected, the supply in this submarket could run out quickly. Delaying construction may result in missed opportunities to capitalize on rising rental rates in an increasingly supply-constrained market.

Appendix

1. <https://cw-gbl-gws-prod.azureedge.net/-/media/cw/marketbeat-pdfs/2024/q2/emea/central-london-marketbeat-q2-2024.pdf?rev=fea20b7ee5c845a582de9920b62c0e27>
2. <https://www.colliers.com/en-gb/news/blog-top-5-trends-for-london-offices>
3. <https://www.cushmanwakefield.com/en/united-kingdom/news/2024/08/appetite-for-prime-space-drives-central-london-office-demand-to-record-high#:~:text=Supply%20across%20Central%20London%20reduced,A%20vacancy%20rate%20at%205.35%25>
4. <https://cw-gbl-gws-prod.azureedge.net/-/media/cw/marketbeat-pdfs/2024/q2/emea/central-london-marketbeat-q2-2024.pdf?rev=fea20b7ee5c845a582de9920b62c0e27>
5. <https://bcis.co.uk/news/bcis-construction-industry-forecast/>
6. Submarkets rankings

	The West End	The City & Southbanks	Docklands
Rent	1	2	3
Vacancy Rate	1	1	3
Industry	1	2	3
Take-up	2	1	3
Active Requirement	1	1	1
Availability	3	2	1
Future Supply	1	1	3
Average Score	1.4	1.4	2.4